



2025 - 2035 STRATEGIC MARKETING PLAN

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Peloton Interactive, Inc. is a leading connected fitness platform that revolutionized the at-home fitness industry. Founded in 2012, Peloton sought to bring instructor-led cycling classes into customers' homes while building a sense of community among its Members. The Peloton Bike was launched in 2013 through a successful Kickstarter campaign and began shipping to customers in 2014.

Peloton's innovative approach quickly established its presence in the market, allowing the company to go public in 2019. Peloton experienced rapid growth between 2020 and 2022, driven primarily by the COVID-19 pandemic which forced public gym closures and significantly boosted demand for home fitness alternatives. Peloton emerged as a leader by integrating premium stationary bikes with curated workout classes and fitness-focused communities through a subscription-based model. By 2024, Peloton had achieved 51% global market share with widespread recognition as an exclusive luxury workout brand.

The company's supply chain was not equipped to scale with consumer demand, resulting in significant equipment waitlists. In response, Peloton invested \$400 million in a new manufacturing facility to increase production capacity and meet the rapidly expanding demand for their platform.

As pandemic restrictions were lifted and gyms reopened, Peloton's market began to contract prompting the company to adapt to plummeting subscription rates and the reselling of equipment by its Members. Peloton scaled down operations, outsourced manufacturing, and ultimately sold its new production facility, all while being forced to offer large discounts to offload inventory, often at very low margins or even losses.

Today, Peloton's rapid rise and fall presents a compelling paradox as a company with substantial brand recognition and impressive market share yet facing a decline in new subscribers and a decrease in their Members' lifetime value.



FINANCIAL PERFORMANCE

Historically, Peloton has posted negative free cash flow dating back to 2021; however, in the past 12 months, the company has demonstrated meaningful progress by generating approximately \$237 million in positive free cash flow. A key contributor has been a notable reduction in sales and marketing expenditures:

- 🔗 Q1 FY25 (Sep 2024): \$81.9M (decrease of \$64.2M YoY)
- 🔗 Q2 FY25 (Dec 2024): \$152.7M (decrease of \$77.6M YoY)
- 🔗 Q3 FY25 (Mar 2025): \$106.5M (decrease \$63.8M YoY)

While these cost reductions are encouraging, customer acquisition and retention remain a major concern. Between March 2024 and March 2025, Peloton experienced detrimental Member attrition: Connected Fitness subscriptions fell by 176,022 (from 3,056,198 to 2,880,176), and Paid App subscriptions fell by 101,455 (from 674,230 to 572,775). Although a reduction in marketing expenses may naturally correlate with slower subscriber growth, the magnitude of this attrition is alarming. Over the last three quarters, Peloton has spent over \$300 million on sales and marketing yet achieved no net subscriber growth. This indicates not only ineffective marketing strategies, but a broader failure to evolve and deliver a compelling value proposition to customers.

Because subscriber counts have declined over this period, calculating an accurate customer acquisition cost (CAC) is not possible. The formula requires new subscribers, which are negative overall. While Peloton is acquiring new customers, these gains are offset by churn. This is especially apparent in the App Member segment, where the lower price and ease of cancellation drive higher attrition.



To estimate Peloton Members' lifetime value (LTV), consider Connected Fitness subscribers with All-Access memberships at \$44 per month (\$528 per year). With a 68% gross margin and a monthly average churn rate of 1.5%, the implied average customer lifetime is roughly 66 months, bringing the calculated LTV to approximately \$1,975 ($\$528 \times 5.5 \text{ years} \times 68\% = \$1,975$). Without a CAC, the gap between LTV and acquisition efficiency becomes a critical concern. Even if Peloton has internal CAC metrics, the company's public results suggest heavy spending without subscriber rate improvement.

THE PELOTON BRAND

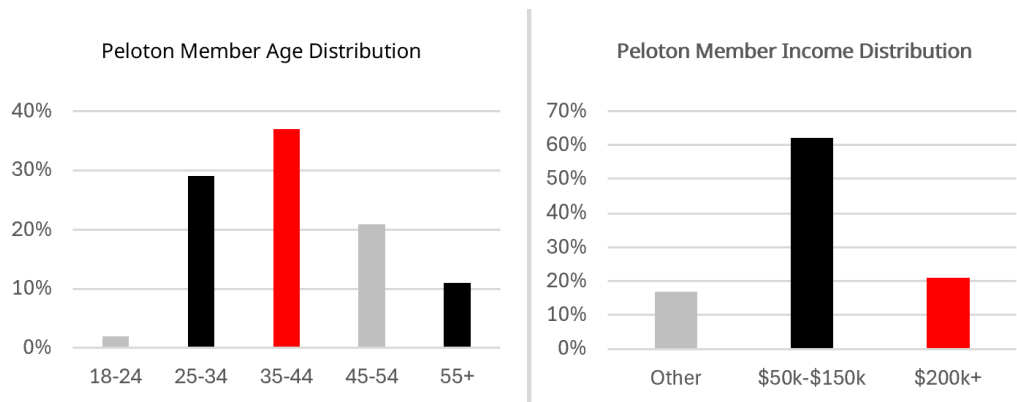
Peloton is the leading brand in the home health and fitness category and is built on a unique combination of high-end fitness technology, world-class instructional content, and a deeply engaged social community. The company revolutionized the industry by bringing the energetic, instructor-led boutique fitness experience into the home. Its equipment lineup supports diverse workout interests, including the iconic Bike and Tread and AI-powered strength training through Peloton Guide. Additionally, Peloton offers a range of accessories, from cycling shoes, dumbbells, and workout mats to branded apparel to complete the immersive experience. Peloton's true product is the seamless platform where Members can "Work Out Your Way" and connect into live or on-demand classes with an inclusive and supportive community. The company's carefully cultivated culture of accessibility and body positivity has established a foundation of brand loyalty.

A key asset of the Peloton brand is its highly engaged community. While competitors may offer similar hardware or classes, none have matched the scale or passion of Peloton's social ecosystem. Their products are designed to encourage interaction through competitive leaderboards, virtual high-fives, user-organized groups, and powerful bonds with celebrity-level instructors. It is this human-centric, community-driven experience that creates an emotional connection to the brand, transforming a subscription into a lifestyle choice.



PELOTON MEMBER DEMOGRAPHICS

The largest demographic of Peloton Members are between 35 and 44 years of age (37%), followed by Members aged 25 to 34 (29%), 45- to 54-year-olds (21%), and 55+ (11%). Only 2% of Members are younger than 25. Peloton’s products are positioned at a premium, and its customer base largely reflects this. 62% of Peloton Members earn between \$50,000 and \$150,000, and a notable 21% of Members earn over \$200,000. 77% of Peloton users hold a college degree. 67% of Peloton users are female. This data suggests the majority of Peloton Members are affluent, health-focused working professionals who prioritize the flexibility of an at-home workout and are willing to invest in high-end exercise equipment.



MEMBERSHIP OPTIONS & PRICING TIERS

App One	App+	Strength+	All-Access	Peloton Guide
\$12.99/mo	\$24.00/mo	\$9.99/mo	\$44.00/mo	\$24.00/mo
App access to yoga, strength, HIIT workouts, and more	Workouts for any bike, treadmill, or rower	Access to custom strength workouts	All content and workouts using Peloton branded equipment. Includes Peloton Guide access.	Use of Peloton’s AI camera for up to 5 members.



COMPETITOR ANALYSIS & BRAND POSITIONING

Despite market contractions and growing competition, Peloton remains the clear leader in the connected fitness market, with approximately 3.45 million subscribers as of March 2025; more than double its closest competitors. To maintain this position, Peloton must actively monitor emerging competitors and adapt to evolving market dynamics.

NordicTrack iFIT

NordicTrack and its iFIT membership are Peloton's closest competitors with about 1.5 million subscribers engaging with membership priced at \$39/month. Its connected equipment range of products more is broad than Peloton's, featuring bikes from \$1,499–\$2,999 with advanced cycling features, in addition to treadmills, rowers, ellipticals, and selectable dumbbells. iFIT differentiates itself with the world's largest outdoor workout library and AI that personalizes workouts based on user data, making it Peloton's most direct competitor.

Echelon Fitness

Echelon offers more affordable connected exercise bikes, treadmills, stair climbers, ellipticals, rowers, strength training machines, and an exercise mirror. Subscriptions are \$12 (Fitpass) or \$40 (Premier), with live and on-demand workouts, plus AI-driven personalization in the Premier tier. Subscriber numbers aren't disclosed.

Tonal

Tonal specializes in AI-powered strength training and has ~175,000 subscribers. Its AI customizes workout plans, monitors form via camera and delivers real-time feedback and post-workout insights. Their single workout bench device costs \$4,295, with a \$60/month subscription to their digital fitness platform.



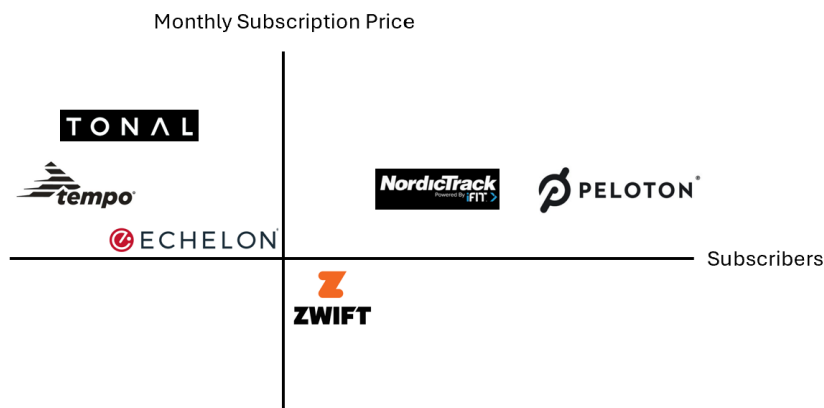
Tempo

Like Tonal, Tempo focuses on strength training with AI-powered adaptive plans. Their \$40/month subscription includes AI-generated plans and access to human trainers. Entry costs are lower as it uses free weights rather than expensive equipment, bundled over twelve months. They have ~23,000 subscribers.

Zwift

Zwift is a training software focused on the interactive and competitive component of home fitness, targeting cyclists and runners who typically exercise outdoors. This software is particularly popular among the competitive cycling and running, triathlete, and ultra-fitness athlete communities. Zwift's key differentiator is live streaming, which translates a user's activity into the software and allows users to ride or run with other people across the world in real-time via virtual races.

Zwift has grown to approximately 1.2 million global subscribers, with only 23% of Zwift website traffic being generated from within the United States. Zwift has a low cost of entry as the software predominantly operates on a bring-your-own-device model, allowing subscribers to use the same bike and ANT+ sensors (a wireless transmission utilized by most cycling equipment manufacturers) they use outside.





PELOTON MARKETING UNDERPERFORMANCE

Peloton's business has changed dramatically since the end of the COVID-19 pandemic. Subscriber counts declined year-over-year, and customer acquisition costs have risen. Peloton's rapid growth during the pandemic was fueled less by marketing strategy than by factors outside the company's control. As demand contracted, Peloton found themselves over-invested and under-marketed, unable to move product with the added competition from gym memberships and alternative at-home fitness products.

To remain profitable and deliver shareholder value, Peloton must adopt a more disciplined and strategic approach, particularly when acquiring new customers. Peloton must maintain their successful culture of inclusive community within a high-tier, luxury brand, while repositioning their brand to encompass a Member's total lifestyle, following them on their health and wellness journeys, no matter the goal. This pivot will unlock a much larger total addressable market and create a more resilient business model.

While cost-cutting is essential, Peloton's bigger challenge lies with its growth engine. The brand can no longer rely on influencer momentum and pandemic-driven demand. To regain momentum, Peloton must redefine its value proposition, strengthen customer retention, and clarify which marketing channels drive sustainable, long-term growth.





A NEW DIRECTION FOR PELOTON

While the new strategy aims to attract additional user segments, Peloton's existing market scale, engaged community, and extensive content library offer a strong foundation for this expansion. By leveraging AI to identify and target new market opportunities, Peloton can deliver more personalized experiences that drive growth in emerging segments. Additionally, acquiring Zwift would bring new technology, an engaged user base of outdoor-focused athletes, and valuable competitive positioning, supporting Peloton's move into new fitness categories and strengthening its overall market presence.

Artificial Intelligence the Peloton Way

Artificial Intelligence is essential for staying competitive in connected fitness. Peloton and its rivals are already using AI to create adaptive training plans and real-time form correction (e.g., Peloton Guide). To stay ahead, Peloton must invest aggressively in advancing these AI coaching capabilities.

AI alone won't differentiate Peloton. The company's real competitive advantage lies in its strong content, community, and social features, yet its current AI strategy doesn't fully leverage these strengths. Peloton must use AI not just to personalize workouts but to deepen member loyalty and drive cross-selling of equipment and classes. By analyzing behavior and social interactions, Peloton can foster organic social groups, target high-value segments like ultra-fitness enthusiasts, and strengthen retention through emotional connection; all in ways competitors with weaker communities cannot match.



Zwift Partnership & Acquisition

With an eye on the future, Peloton should focus on expanding beyond its current customer base and into the performance-driven world of endurance athletes, specifically competitive cyclists and triathletes. This ultra-fitness audience is highly engaged, deeply loyal to the brands they trust, and spends significantly more on training, gear, and subscriptions. For perspective, the average Ironman training cycle costs athletes approximately \$8,340, factoring in gear, race fees, nutrition, recovery, and coaching.

To tap into this market, Peloton needs to strategically partner with Zwift, the leading training platform for endurance athletes. Bundling the two services, Zwift's simulated racing and structured workouts with Peloton's strength, yoga, and recovery programming, would immediately expand Peloton's reach and help reduce subscriber churn by offering more value to a stickier, more committed user base.

Once partnered, Peloton can begin integrating Zwift into its ecosystem through targeted product development aimed at performance users. This could include new hardware offerings, enhanced training features, and seamless in-app access across both platforms. By combining Zwift's immersive and competitive experience with Peloton's holistic approach to fitness, Peloton creates a uniquely well-rounded product for serious athletes.

Peloton should ultimately acquire Zwift outright. Peloton has the opportunity as a public company to finance the acquisition through equity or debt. Owning both platforms allows each brand to continue thriving while consolidating leadership in the connected fitness market. Zwift's user base will join under the Peloton umbrella, unlocking more strategic pricing models, higher recurring revenue, and long-term value across both lifestyle and performance segments. This direction not only strengthens Peloton's brand but also creates a more resilient and diversified business.



2025 – 2035 ZWIFT ACQUISITION STRATEGIC PLAN

Short Term (1-Year Plan) – Target the Ultra Fitness Market

Peloton faces clear short-term challenges: a high cost of entry, market saturation, and increasing customer churn. Partnering with Zwift offers Peloton a strategic opportunity to reach new users while strengthening retention among existing members.

Zwift is the leading online cycling platform for dedicated cyclists and triathletes, a demographic that represents a lifestyle commitment. Zwift's platform emphasizes performance and racing with a gamified approach. Zwift and Peloton's products are differentiated, and Zwift reaches a demographic that Peloton hasn't tapped into. Partnership will not cannibalize Peloton's existing target customer.

Building a comparable performance-focused platform from scratch would be a costly and time-consuming investment for Peloton. Zwift already has a dominant position in the performance and racing segment of the indoor cycling space, serving approximately 3.1 million triathletes and an estimated 50 million serious cyclists worldwide. This market has a high lifetime value and users are familiar with spending heavily on hardware, subscriptions, and gear, meaning more potential revenue per user for Peloton down the line.

In the first year, Peloton should partner with Zwift and establish a bundled performance membership tier. This bundle would offer:

-  Zwift users to access Peloton's broader content library, including yoga, strength, and mobility classes
-  Peloton users the ability to run Zwift on their bikes via a software update



Zwift currently costs \$20 per month (or \$200 per year). Peloton's All-Access membership costs \$44 per month. A bundled membership tier priced at \$64 per month would deliver real value to athletes looking for both structured endurance training and full-body cross-training. In the partnership, Peloton would receive \$5 per Zwift membership monthly as compensation for the exposure to its large subscriber base.

Estimated financial impact:

If Peloton captures 25% of Zwift's 1.2 million paying subscribers (300,000 users) into the new performance tier at \$49/month (reflecting Peloton's \$44 All-Access subscription plus a \$5 revenue share from Zwift), Peloton would earn \$176.4 million in annual recurring subscription revenue (300,000 users × \$49 subscription × 12 months = \$176,400,000).

If 5% of those 300,000 new subscribers purchase a Peloton bike at \$1,970 (average cost of the Bike and Bike+), Peloton could earn an additional \$29.55 million in hardware revenue (15,000 subscribers × \$1,970 bike = \$29,550,000) in hardware revenue.

Total potential revenue boost in year one: **\$205,950,000**

Intermediate Term (1–5 Years) – Full Zwift Integration

Between years 1 and 5, Peloton should move beyond bundling and toward fully integrating Zwift into its OS and product experience. This would include a new "Pro" style Peloton bike with upgraded internal hardware to support both Peloton classes and native Zwift functionality, as well as the ability to launch Zwift workouts and races directly from the Peloton screen.



This new product would target ultra-endurance athletes and serious cyclists who currently rely on indoor trainers and third-party setups (with very few of those offering integrated screens; meaning an external device such as a computer, tablet, or TV is required). Pricing the Peloton Pro Bike around \$2,800–\$3,000 would make it competitive and attractive for this market, keeping it in-line with NordicTrack’s highest end bike offering.

Why it works:

- 🔗 Cyclists already spend significant sums on their setups; \$3,000–\$10,000 is common. A premium indoor training bike with full integration saves time and effort.
- 🔗 Many are tired of mounting and unmounting outdoor bikes on trainers, dealing with drivetrain wear, or adjusting bike setup every ride. A dedicated indoor setup solves that.
- 🔗 Peloton already has strength and mobility programming, which complements endurance training. Offering both from one device adds value.

Product features would include:

- 🔗 Drop bars, aero bars, and shifting paddles on the Peloton Pro Bike
- 🔗 Clipless pedals that match common outdoor configurations (SPD, Keo, etc.)
- 🔗 Triathlon-specific strength and mobility content
- 🔗 Unified dashboards for performance tracking

The new integrated bike becomes the centerpiece of serious athletes’ training instead of just a spin bike. The new product would be a complete training system.



Long Term (5–10 Years) – Take Over the Market

With full integration complete and a growing user base in the endurance segment, Peloton should look to acquire Zwift outright. Because Zwift is privately owned and Peloton is a public company, Peloton has access to equity and debt financing options to fund the acquisition. Buying Zwift accomplishes several goals:

- 🔗 Peloton retains all Zwift users, including those who never opted into the bundle
- 🔗 It eliminates the need to compete in the high-end training software space, where Zwift already has a massive lead
- 🔗 Peloton can own both the lifestyle wellness category and the elite performance segment

Zwift's brand should remain intact after the acquisition due to its loyal user base, but Peloton would own the full ecosystem. Once Zwift is acquired, Peloton can also increase pricing for the Performance subscription tier since there would be no major competing platform left in the space. This move consolidates market share and increases average revenue per user.

Peloton attempting to create a software program to compete with Zwift is not strategically sound. The time and expense of research and development associated with creating a competing program would be considerable. Given Peloton's financial status, it would be a challenge to execute. Even then, if successful, it would now directly compete with Zwift, which has a 1.2 million subscriber head start. Converting these customers is unlikely to be successful. Partnering in the short term and acquiring in the long term is the smarter path. It allows Peloton to grow the total addressable market, tap into a high-LTV audience, and build long-term recurring revenue and margin expansion while solving churn and positioning itself as the default fitness ecosystem for all skill levels, from beginners to elite athletes.



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